



Global Wealth Strategy – House View Q4 2025

Executive Summary

Global growth remains resilient but uneven. Inflation has moderated but remains above target in major developed markets. Central banks signal higher-for-longer rate stance. Recession probability over next 12 months estimated at 30–40%. Investment stance remains neutral on global equities, cautious on long-duration fixed income, and constructive on short-duration credit.

Macroeconomic Outlook

United States: Growth slowing but not contracting. Consumer resilience supported by labour market strength. Inflation trending down but sticky in services. Euro Area: Weak manufacturing activity. Energy costs stabilised but political fragmentation risks persist. Emerging Markets: Mixed outlook. Select Asian economies benefiting from supply chain reallocation. Central banks expected to maintain restrictive policy through Q1 2026.

Asset Allocation Guidance

Strategic allocation bands: Equities: 50–65% Fixed Income: 25–40% Cash: 5–15% Tactical positioning: Neutral global equities Underweight long-duration government bonds Overweight short-duration investment-grade credit Neutral high-yield bonds Neutral emerging market equities

Equity Strategy

Prefer high-quality large-cap equities with strong balance sheets and pricing power. Favour healthcare and technology sectors. Avoid highly leveraged cyclical businesses. Dividend sustainability prioritised over yield maximisation.

Fixed Income Strategy

Duration positioning below benchmark. Prefer short-duration corporate credit. Avoid concentrated exposure to lower-tier high-yield issuers. Maintain selective exposure to inflation-linked securities.

Risk Management Considerations

Monitor credit spread widening. Liquidity buffers maintained across portfolios. Stress testing conducted for 150bps parallel shift in yield curve. Volatility expectations remain elevated into upcoming central bank meetings.

Client Suitability Framework

Portfolio adjustments must remain within strategic allocation bands. Any allocation outside approved bands requires CIO approval. Enhanced suitability documentation required for high-volatility asset classes.